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Chapter **10**

Working with Direct Participation Programs (DPPs) and REITs

Direct participation programs (DPPs) can raise money to invest in real estate, oil and gas, equipment leasing, and so on. More commonly known as limited partnerships, these businesses are somewhat similar to corporations (stockholder-owned companies). Limited partnerships, however, have some specific tax advantages (and disadvantages) that a lot of other investments don't have. According to tax laws, limited partnerships aren't taxed directly; the income or losses are passed directly through to the investors.

DPPs were once known as tax shelters because of the tax benefits to investors, but tax law changes have taken away a lot of these advantages. As a result, DPPs have somewhat fallen out of favor for investors (though not entirely for the SIE exam designers).

In this chapter, I explain the differences between limited and general partners, as well as the types of partnerships, their particular risks, and their potential rewards. The info here can help you examine those risks and rewards and determine the suitability of DPPs for investors. I also explain two inevitable facts of life as they apply to partnerships: the filing of paperwork and the payment of taxes. Finally, I explain the ins and outs and some of the specifics you need to know about real-estate investment trusts (REITs). Unlike mutual funds that invest in a pool of securities, REITs invest in real estate. If you can't wait, they're discussed toward the end of the chapter. At the very end, I test your knowledge with a quick chapter quiz.

Searching for Identity: What DPPs Are (and Aren't)

Just as stockholders are owners of a corporation, limited (and general) partners are owners of a direct participation program. The key difference for people investing in DPPs is that they're *illiquid*, so investors can expect that their investment dollars will be tied up for a long period of time, though they receive tax advantages for doing so. Most DPPs (at least the ones you'll be tested on) are set up for real-estate projects, oil and gas projects, or equipment leasing.



REMEMBER

The Internal Revenue Service (IRS) determines whether an enterprise is a corporation or a limited partnership. For a limited partnership to be considered (and taxed) as a limited partnership, it has to avoid at least two of the following corporate characteristics (usually, the last two):

- » **Having a centralized management:** Corporations have management in one place. The challenges of managing a limited partnership from several locations make this corporate trait quite difficult for a partnership to avoid.
- » **Providing limited liability:** Corporate shareholders have limited liability; well, so do limited partners. The liability of corporate shareholders is limited to the amount invested, and the liability of limited partners is limited to the amount invested plus a portion of any recourse loans taken out by the partnership (if any). Therefore, investors of a limited partnership would have limited liability unless a limited partner takes on an active role in the management decisions. If a limited partner takes on an active role in management, they could be considered a general partner and have unlimited liability.
- » **Having perpetual (never-ending) life:** Unlike corporations, which hope to last forever, limited partnerships are set up for a defined period of time. Limited partnerships are dissolved at a predetermined time, such as when their goals are met or after a set number of years.
- » **Having free transferability of partnership interest:** DPPs are difficult to get into and out of. Unlike shares of stock, which can be freely bought and sold by anyone, limited partners not only have to pass the scrutiny of a registered rep, but also require the approval of the general partner. DPP investors (limited partners) must show that they have enough money to invest initially and have liquidity in other investments in the event that the partnership needs a loan.



REMEMBER

For SIE exam purposes, you need to remember that the easiest corporate characteristics for a partnership to avoid are perpetual life (continuity of life) and free transferability of shares; the most difficult to avoid are providing limited liability and having a centralized management.

The DPP Characters: General and Limited Partners

By law, limited partnerships require at least one limited partner and one general partner. Limited partners are the investors, and general partners are the managers. When you're looking at general and limited partners, you want to focus on who can and can't do what.

General partners are responsible for the day-to-day decision-making (overseeing operations, deciding when to buy or sell, choosing what to invest in, and so on) for the partnership. Limited partners (the investors) provide the bulk of the money for the partnership but, unlike general partners, they can't make any of the partnership's investment decisions. Table 10-1 lays out the key things to remember about general and limited partners for the SIE.

TABLE 10-1 Comparing General and Limited Partners

Category	General Partners	Limited Partners
Decision-making	Are legally bound to make decisions in the best interest of the partnership; make all the partnership's day-to-day decisions	Have voting rights but can't make decisions for the partnership
Tasks	Buy and sell property for the partnership; manage the partnership's assets	Provide capital; vote; can keep general partners in check by reviewing books
Liability and litigation	Have unlimited liability (can be sued and held personally liable for all partnership debts and losses)	Have limited liability (limited to the amount invested and a proportionate share of any recourse loans taken by the partnership); can inspect all the partnership books; can sue the general partner or can sue to dissolve the partnership
Financial involvement	Maintain a financial interest in the partnership	Provide money contributed to the partnership, recourse debt of the partnership, and nonrecourse debt for real-estate DPPs
Financial rewards	Receive compensation for managing the partnership	Receive their proportion of profits and losses
Conflicts of interest	Can't borrow money from the partnership; can't compete against the partnership (can't manage two buildings for two different partnerships in close proximity, for example)	None; can invest in competing partnerships

Partnerships are usually set up as *tenants in common* (TIC). Each limited partner owns an undivided interest in the property held by the partnership. In addition, in the event that one of the limited partners dies, their partnership interest will be passed to a beneficiary or to their estate.

Pushing through Partnership Paperwork

For the SIE exam, you need to know about certain paperwork that's specific to limited partnerships. In the following sections, I discuss the three documents necessary for a limited partnership to exist.

Partnership agreement

The *partnership agreement* is a document that includes the rights and responsibilities of the limited and general partners. Included in the agreement are basics that you would probably guess, such as the name of the partnership, the location of the partnership, the name(s) of the general partner(s), and so on. In addition, the partnership agreement addresses the general partner's rights to

- » Charge a management fee for making decisions for the partnership
- » Enter the partnership into contracts
- » Decide whether cash distributions will be made to the limited partners
- » Accept or decline limited partners

Certificate of limited partnership

The *certificate of limited partnership* is the legal agreement between the general and limited partners, which is filed with the U.S. Securities and Exchange Commission (SEC) for public offerings and the secretary of state in the home state of the partnership. The certificate of limited partnership includes basic information such as the name of the partnership and its primary place of business, the names and addresses of the limited and general partner(s), and the following items:

- » The objectives (goals) of the partnership and how long the partnership is expected to last
- » The amount contributed by each partner, plus future expected investments
- » How the profits are to be distributed
- » The roles of the participants
- » How the partnership can be dissolved
- » Whether a limited partner can sell or assign their interest in the partnership

If any significant changes are made to the partnership, such as adding new limited partners, the certificate of limited partnership must be amended accordingly.

Subscription agreement

The *subscription agreement* is an application form that potential limited partners have to complete. The general partner uses this agreement to determine whether an investor is suitable to become a limited partner. The general partner has to sign the subscription agreement to officially accept an investor into the DPP.

One of your jobs as a registered rep is to prescreen the potential limited partner to make sure that the partnership is a good fit for that person. Consider the following questions:

- » Does the investor have enough money to invest (net worth and annual income)?
- » Does the investor have enough cash or liquidity in other investments in case the partnership needs more money?
- » Is the potential partner okay with tying up money for a long period of time?
- » Can they handle the risks?

Also, you need to review the agreement to ensure (to the best of your ability) that the information the investor provides is complete and accurate. Besides the investor's payment, the subscription agreement has to include items such as the investor's net worth and annual income, a statement explaining the risks of investing in the partnership, and a power of attorney that allows the general partner to make partnership investment decisions for the limited partner. The subscription agreement is typically sent in with some form of payment from the potential limited partner.

Passive Income and Losses: Looking at Taxes on Partnerships

DPPs used to be called tax shelters because DPPs flow through (or pass through) not only income, but also losses to investors. (Corporations flow through only income.) Before 1986, investors could write off these losses against income from other investments, such as capital gains. Then

Congress stepped in because it felt that this write-off was too much of an advantage for investors (or our elected officials felt that the IRS wasn't collecting enough money) and decided to give DPPs their own tax category. Now, because investors aren't actively involved in earning the income, taxes on DPPs are classified as *passive income* and *passive losses*. (See Chapter 15 for more info on taxes and types of income.)



REMEMBER

The key thing to remember for SIE purposes is that investors can write off passive losses only against passive income from other DPP investments.

Evaluating DPPs

DPPs can be offered publicly or privately. Public offerings of DPPs must be registered with the SEC, whereas private offerings (offerings to mostly wealthy investors) are not. Typically, publicly offered DPPs have a lower unit (buy-in) cost than that of privately offered DPPs.

Certainly, direct participation programs provide some advantages, but they also have additional risks that investors don't face with other types of investments, such as having to lend additional money to the partnership if necessary. Therefore, when evaluating whether an investment in a DPP may be right for one of your clients, you need to determine whether investing in a partnership is wise for that client, and as their representative, you also need to consider the following items:

- » The economic soundness of the program. In other words, do you think it will be profitable?
- » The expertise (track record) of the general partner.
- » The basic objectives of the program.
- » The start-up costs involved.

Checking Out Types of Partnerships

Partnerships can be formed to run just about any sort of business that you can imagine, but the SIE exam focuses on the big three: real estate, equipment leasing, and oil and gas. You need to be able to identify the risks and potential rewards of each of the following types of partnerships.



REMEMBER

Because of the risks associated with some types of DPPs, investors should have the ability to tie up their money for a long period of time and be able to recover from a loss of all the money invested in case the partnership never becomes profitable.

Building on real-estate partnership info

Real-estate limited partnerships (RELPs) include programs that invest in raw land, new construction, existing properties, or government-assisted housing. You need to know the differences among the types of programs, along with their risks and potential rewards. Here are the types of real-estate DPPs, from safest to riskiest:

- » **Public housing (government-assisted housing programs):** This type of real-estate DPP develops low-income and retirement housing. The focus of this type of DPP is to earn

consistent income and receive tax credits. The U.S. government (through subsidies), via the U.S. Department of Housing and Urban Development (HUD), makes up any deficient rent payments. Appreciation potential is low, and maintenance costs can be high, but the DPP does benefit from some level of government security. Public-housing DPPs are backed by the U.S. government and, therefore, are typically considered to be the safest real-estate DPPs.

- » **Existing properties:** This type of DPP purchases existing properties with the intent of generating a regular stream of rental income. Because the properties already exist, this DPP generates immediate cash flow. The risks with this type of DPP are that the maintenance or repair expenses will eat into the profit and that tenants won't renew their leases. The properties already exist and are producing income, so risk for this type of DPP is relatively low.
- » **New construction:** This type of DPP purchases property for the purpose of building. After completing the construction, the partnership's goal is to sell the property and structure at a profit after all expenses. Building costs may be more than expected, and the partnership doesn't receive income until the property is sold, but the DPP can benefit from appreciation on both the land and the structure. Although this investment is speculative (risky), it's not as risky as a raw-land DPP.
- » **Raw land:** This type of DPP invests in undeveloped land in anticipation of long-term capital appreciation, which means raw-land DPPs don't actually build on or rent out the property. The partnership hopes that the property purchased will appreciate in value so that the DPP can sell the property for more than the purchase price plus all expenses.



REMEMBER

Raw-land DPPs are considered to be the riskiest real-estate DPPs because the partnership doesn't have any cash flow (no rental or sales income) and the value of the land may not increase; it may actually decrease.



TIP

The main thing to remember with real-estate DPPs is that depending on which type you invest in, they can provide capital growth potential through the appreciation of property held by the DPP; cash flow for DPPs that hold rentals; tax deductions for mortgage interest, depreciation, and capital improvements; and tax credits for DPPs that hold government-assisted housing.

Gearing up with equipment leasing

Although you may be tested on equipment leasing programs on the SIE exam, it's typically the least-tested type of DPP on securities exams. Equipment leasing programs purchase equipment (trucks, heavy machinery, computers, you name it) and lease it out to other businesses. The objective is to obtain a steady cash flow and depreciation write-offs. The two types of leasing arrangements you need to be aware of are the operating lease and the full payout lease:

- » **Operating lease:** This type of equipment leasing program purchases equipment and leases it for a short period of time. The DPP doesn't receive the full value of the equipment during the first lease. This type of arrangement allows the DPP to lease the equipment several times during the life of the machinery.
- » **Full payout lease:** This type of equipment leasing program purchases the equipment and leases it out for a long period of time. The DPP receives enough income from the first lease to cover the cost of the equipment and any financing costs. Usually, the initial lease lasts for the useful life of the equipment.



REMEMBER

The main thing to remember about equipment leasing is that the operating lease is riskier, because the equipment becomes less valuable or outdated over time and, therefore, less rentable.

Strengthening your grasp on oil and gas

Oil and gas partnerships include programs that produce income, are speculative in nature, or are a combination of the two. You need to know how the types of programs differ, along with their risks and potential rewards. Oil and gas partnerships also have certain tax advantages that are unique:



REMEMBER

» **Intangible drilling costs (IDCs):** IDCs are write-offs for drilling expenses. The word *intangible* is your clue that you're not talking about actual equipment. These costs include wages for employees, fuel, repairs, hauling of equipment, insurance, and so on. IDCs are usually completely deductible in the tax year in which the intangible costs occur. IDC deductions are only for drilling and preparing a well for the production of oil and gas.

» **Tangible drilling costs (TDCs):** TDCs are write-offs on items purchased that have salvage value (items that can be resold). All oil and gas DPPs have TDCs, which include costs for purchasing items such as storage tanks and well equipment. These costs aren't written off immediately but are *depreciated* (deducted) over several years. Depreciation may be claimed on either a straight-line basis (writing off an equal amount each year) or an accelerated basis (writing off more in the early years and less in the later years).

IDCs are fully deductible in the current year; TDCs are depreciated (deductible) over several years.

» **Depletion:** Depletion is a tax deduction that allows partnerships that deal with natural resources (such as oil and gas) to take a deduction for the decreasing supply of the resource. Partnerships can claim depletion deductions on only the amount of natural resources sold (not extracted and put in storage for future sale).



REMEMBER

Depletion deductions are only for DPPs that deal with natural resources. On the SIE exam, the only DPP with depletion deductions that you need to be concerned about is oil and gas.

When investing in oil, partnerships can pioneer new territory, drill near existing wells, buy producing wells, or try a combination of those methods. For SIE-exam purposes, exploratory programs are the riskiest oil and gas DPPs because oil may never be found, and income programs are the safest oil and gas DPPs. To make your life easier (I hope), I've composed a DPP comparison chart (see Table 10-2) to help you focus on the main points of each type of oil and gas DPP.

TABLE 10-2 Advantages and Risks of Various Oil and Gas DPPs

Type	Objective	Advantages	Risks
Exploratory (wildcatting)	To locate and drill for oil in unproven, undiscovered areas	Long-term capital appreciation potential; high returns for discovery of new oil or gas reserves	Riskiest oil and gas DPP because new oil reserves may never be found; high IDCs because the DPP isn't working with producing wells
Developmental	To drill near producing wells with the hope of finding new reserves	Long-term capital appreciation potential with less risk than exploratory programs; oil will likely be found	The property's expensive; the drilling costs may be higher than expected; the risk of dry holes (nonproducing wells) is still somewhat high; medium level of IDCs
Income	To provide immediate income by purchasing producing wells	The partnership generates immediate cash flow; the least risky of the oil and gas DPPs; no IDCs	High initial costs; the well could dry up; gas prices could go down
Combination	To provide income to help pay for the cost of finding new oil reserves	The ability to offset the costs of drilling new wells by using income generated by existing wells	Carries the risks of all the programs combined

The following question concerns different DPP investments.



EXAMPLE

Ayla has money invested in a limited partnership that's expected to have a significant amount of income over the next one to two years. Which of the following programs would BEST help Ayla shelter the MOST of that income?

- (A) Oil and gas exploratory
- (B) Raw land purchasing
- (C) Equipment leasing
- (D) Existing real-estate property

The answer you want is (A). Oil and gas exploratory programs spend a lot of money attempting to find and drill for oil. These programs have high IDCs, which are fully tax-deductible when the drilling occurs. Therefore, the oil and gas exploratory programs have the largest write-offs in the early years, which could help Ayla offset some or all of their passive income from the other limited partnership.



REMEMBER

Unlike corporations, DPPs have an ending date. That date could be predetermined as placed in the partnership agreement, when a project is completed (such as when buildings are built and sold, oil is found and the land is sold, equipment is sold, and so on), or when the limited partners vote to dissolve the partnership. When the partnership is dissolved, the first to be paid out of the partnership assets are secured creditors; then general creditors are paid; next, limited partners are paid; and the last to be paid are the general partners.

Reducing Real-Estate Risk with REITs

A real-estate investment trust (REIT) invests in real-estate-related projects such as properties, mortgage loans, and construction loans. REITs pool the capital of many investors to manage property and/or purchase mortgage loans. Like other trusts, they issue shares to investors representing their interest in the trust. REITs registered with the SEC are known as *public REITs*, and those that aren't registered with the SEC are known as *private REITs*. In addition, REITs may be listed on an exchange or can trade over the counter. (See Chapter 14 for more info on markets.) They also provide real estate diversification and liquidity for investors.

REITs are distributed in the primary market at the initial public offering (IPO) price. Unlike mutual funds, which are redeemed with the issuer, REITs are traded (bought and sold) in the secondary market (the sale of outstanding securities) to other investors. In addition, REITs have a finite number of shares outstanding, like closed-end funds. Because REITs are traded in the secondary market, their price may be at a discount or premium to the net asset value (NAV; see Chapter 9), depending on profitability and investor sentiment.

Types of REITs include the following:

- » **Equity REITs** take equity positions in real-estate properties; the income is derived from rent collected or profits made when the properties are sold. Equity REITs typically hold income-producing properties like apartments, shopping malls, vacation resorts, and so on.
- » **Mortgage REITs** purchase construction loans and mortgages. The trust receives the interest paid on the loans and in turn passes it on to the owners of the trust (the investors).

- » **Hybrid REITs** are a combination of equity and mortgage REITs. Hybrid REITs generate income derived from rent and capital gains (like equity REITs) and interest (like mortgage REITs).

As for taxation, REITs can avoid being taxed like a corporation if

- » At least 75 percent of the income comes from activities related to real-estate.
- » At least 75 percent of the REIT's assets are in real estate, government securities, and/or cash.
- » At least 90 percent of the net income received is distributed to shareholders (who pay taxes on the income). Which means that, unlike corporations that are taxed at the corporate level and investors who are taxed on the cash dividends, there's no double taxation with REITs if they follow these rules. So, for individuals investing in REITs, they have *tax-advantaged income*.



WARNING

Don't get REITs confused with real-estate limited partnerships. Limited partnerships, such as RELPs, pass on (the industry term is *pass through*) income and losses to investors to claim on their own personal tax return; REITs only pass income and gains through to investors, not losses or write-offs.

REITs may be sold as private placements, nonlisted, or listed. Check out the following list of specifics:

- » **Private (private placement) REITs:** REITs may be sold privately. Private REITs are exempt from SEC registration, and their shares don't trade on a national securities exchange, such as the New York Stock Exchange. As such, they're not subject to the same disclosure requirements as exchange-listed or public nonlisted REITs. Private REITs are exempt from SEC registration under Regulation D of the Securities Act of 1933. (See Chapter 5.) In general, private REITs can be sold only to accredited investors and institutional investors. Because they aren't sold on an exchange and can't be sold to just any investor, private REITs aren't liquid investments.
- » **Registered nonlisted REITs:** Registered nonlisted REITs are also known as public nonlisted REITs (PNLRs). PNLRs are registered with the SEC but don't trade on a major exchange. PNLRs are similar to listed REITs in every way, including disclosure requirements, except that they're not as liquid. PNLRs may be purchased and sold over the counter and some issuers have periodic (daily or less frequent) repurchase options that allow investors to sell shares back to the issuer at the NAV.
- » **Listed REITs:** As you can imagine, listed REITs are ones that have to register with the SEC and are also listed on one or more national exchanges. So listed REITs provide the highest degree of liquidity to investors.

Don't kill yourself worrying too much about REITs (not that you would); you won't get more than one or two questions on the SIE relating to REITs.

Testing Your Knowledge

This chapter gives you a brief glimpse of limited partnerships and real-estate investment trusts. Even in some of the top-off exams like the Series 7, there isn't a tremendous amount of material to cover. Following is a ten-question quiz. Have fun!

Practice questions

1. Which of the following is NOT TRUE of real-estate investment trusts?
 - (A) They may trade at a discount to the NAV.
 - (B) They may invest in construction loans.
 - (C) They are redeemable securities.
 - (D) None of the above.
2. When making a public offering, which of the following documents is a limited partnership required to file with the SEC?
 - (A) Certificate of limited partnership
 - (B) Agreement of limited partnership
 - (C) Subscription agreement
 - (D) All of the above
3. Passive income can be written off against which of the following?
 - (A) Passive losses
 - (B) Capital losses
 - (C) Both (A) and (B)
 - (D) Neither (A) nor (B)
4. Which of the following types of oil and gas partnerships is the riskiest?
 - (A) Exploratory
 - (B) Developmental
 - (C) Income
 - (D) Combination
5. Which of the following documents must be signed by a general partner to accept a new limited partner?
 - (A) Partnership welcome form
 - (B) Certificate of limited partnership
 - (C) Agreement of limited partnership
 - (D) Subscription agreement
6. Which two of the following corporate characteristics are the easiest for a limited partnership to avoid?
 - I. Having perpetual life
 - II. Providing limited liability
 - III. Having centralized management
 - IV. Having free transferability
 - (A) I and III
 - (B) I and IV
 - (C) II and III
 - (D) II and IV

7. Which of the following is a benefit of investing in a direct participation program?
- (A) Professional management
 - (B) Pass-through of income and losses
 - (C) Limited liability
 - (D) All of the above
8. Which of the following partnership documents includes the rights and responsibilities of the general and limited partners?
- (A) Certificate of limited partnership
 - (B) Subscription agreement
 - (C) Partnership agreement
 - (D) Both (A) and (C)
9. Depletion deductions may be claimed for
- (A) equipment leasing programs
 - (B) raw land real-estate programs
 - (C) exploratory oil and gas programs
 - (D) income oil and gas programs
10. Which of the following real-estate investment trusts have income that is derived at least partially from rent collected?
- I. Equity REITs
 - II. Mortgage REITs
 - III. Hybrid REITs
- (A) I and III
 - (B) II and III
 - (C) I and II
 - (D) I, II, and III

Answers and explanations

1. **C.** REITs are a one-time offering of securities, and after the IPO, they must be purchased and sold in the market. They're not redeemed with the issuer, like mutual funds.
2. **A.** A limited partnership must file a certificate of limited partnership with the SEC before making a public offering.
3. **A.** Passive income is income received from a limited partnership. Passive income can be written off against passive losses but not capital losses.
4. **A.** Exploratory programs are the riskiest because the partnership is drilling in unproven areas trying to find oil. As with other investments, typically, the more risk investors take, the more potential reward. For this type of program, the risks are greatest, but if the partnership finds oil, the rewards should be much higher than those of other oil and gas programs.
5. **D.** To officially accept a new limited partner to the partnership, a general partner must sign the subscription agreement.
6. **B.** For a partnership to not be taxed as a corporation, it must avoid at least two corporate characteristics. The easiest corporate characteristics for a partnership to avoid are having a perpetual life (partnerships are set up for a finite period of time) and having free transferability to partnership interest. Because of the approval process, limited partnerships are some of the most difficult investments to get into and out of.
7. **D.** All the choices listed are benefits of investing in a limited partnership. Investors are certainly getting (or hoping for) professional management by way of a general partner. Also, because a partnership isn't taxed as a corporation, the gains and losses are passed through to investors. In addition, limited partners' losses are limited to the amount invested plus any recourse loans (for real-estate DPPs only).
8. **C.** The partnership agreement lays out the rights and responsibilities of the limited and general partner(s).
9. **D.** To claim depletion deductions, the partnership has to be depleting a natural resource. Of the choices given, only oil and gas programs deal with a natural resource. Exploratory programs (ones that are looking for oil) don't have depletion deductions until they actually hit oil and start pulling it from the ground, like income programs.
10. **A.** Both equity REITs and hybrid REITs, which are a combination of equity and mortgage REITs, derive part of their income from rent collected from property that is owned.